

FORTUNA

Calculate Capital

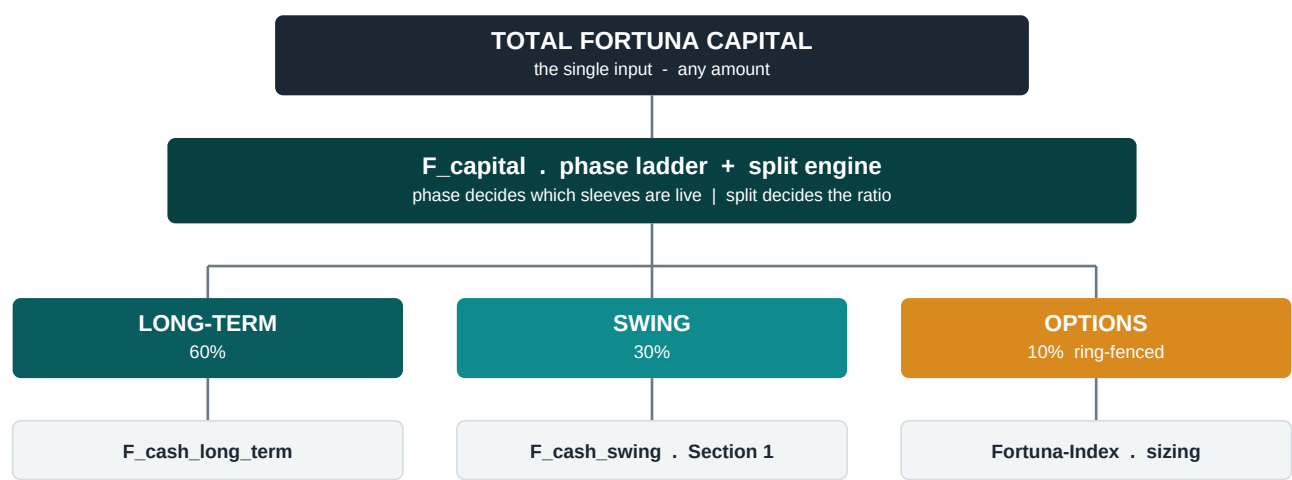
F_capital | shared utility | CAP- | v01 | allocator

The tool that converts one input — total capital committed to Fortuna — into the rupee allocation every other Fortuna document consumes. It is **not a branch**. It sits beside the trunk and feeds both: Section 1 of **F_cash_swing** (deployable cash, buckets, position sizing) and the sizing layer of **Fortuna-Index** (Branch A). Allocation is expressed in **percentages, never rupees**, so it scales with whatever capital exists.

v01 fixes the **phase ladder** and the **two splits**. The structural rules — ring-fencing, no top-up, sleeve-relative risk, percent-based allocation — are LOCKED. The actual percentages are PROVISIONAL and get re-finalised per-strategy once each trading document has a measured risk profile. Personal internal framework, not investment advice.

Where F_capital Sits

Every other Fortuna document asks the same question in a different costume: *how much money do I put on this?* Answering it separately in each document guarantees the answers drift apart and quietly overlap. F_capital answers it once, upstream, and the branches inherit the number rather than deriving it.



F_capital is not a branch. It is a shared utility - both branches consume it, neither owns it.

The Two Splits

There are two independent splits, and collapsing them into one is the error this document exists to prevent. **Split 1** divides total capital across the three sleeves. **Split 2** governs behaviour *inside* a sleeve. They use the same word — percent — but of different denominators.

Split 1 — total capital into sleeves

```
SPLIT 1
SLEEVE_LONG_TERM    = 0.60      # compounding base
SLEEVE_SWING         = 0.30      # positive-expectancy middle
SLEEVE_OPTIONS       = 0.10      # ring-fenced, never topped up
assert sum(SLEEVES) == 1.00
```

Split 2 — inside the swing sleeve

```
SPLIT 2
SWING_MAX_DEPLOYED   = 0.75      # of SWING sleeve, not of total
SWING_MIN_RESERVE    = 0.25
SWING_MAX_POSITIONS  = 6         # range 5-8
SWING_RISK_PER_TRADE = 0.01      # of SWING sleeve, not of total
position_size = (SWING_SLEEVE * SWING_RISK_PER_TRADE)
                / stop_distance_pct
```

Correction carried into v01

Risk is measured against the sleeve, not against total capital. An earlier working note said 'risk 1-2% of total capital per trade'. That is wrong once sleeves exist. If swing is 30% of total, then 1.5% of total is **5% of the swing sleeve** per trade — six open positions would put 30% of the sleeve at risk simultaneously. At 1% of *sleeve*, six positions risk 6% of the sleeve, which is 1.8% of total capital. That is the same version and the one this document carries.

Why percent and not rupees. The rupee figure changes every time income is routed in (post-Midas) or a sleeve compounds. A percentage survives all of that, so F_capital never needs re-deciding — only re-running.

The Phase Ladder

Capital starts at zero and all three sleeves do not switch on together. The ladder below is the activation order: prove the index engine on a small fixed amount, add swing once Fortuna itself is built, and only reach the 60/30/10 steady state once there is enough capital for the percentages to be executable at all.

Phase	Live sleeves	Split rule	Exit condition
CAP-P1 Prove	OPTIONS only	fixed ■ test amount <i>deliberately not a %</i>	index strategy proven — threshold PENDING
CAP-P2 Add swing	SWING + OPTIONS	SWING : OPTIONS = 75 : 25	total capital ≥ ~■10L and Midas live
CAP-P3 Steady	all three	60 / 30 / 10	— (terminal state)

CAP-P1 — why options first, and why a fixed rupee amount

The index engine is the piece being built first, so it is the piece that gets tested first. Expressing this sleeve as a percentage at this stage would be arithmetic theatre — 10% of a small test pot is not enough to buy a lot. It is therefore a **fixed rupee amount chosen for what it can lose**, not a share of anything. The percentage only becomes meaningful in CAP-P3.

CAP-P2 — why swing joins second

Swing needs Fortuna-Cash to exist (Layer 1 universe, S1/S2, triggers, rank) before it can be traded systematically rather than by feel. It also needs a routed income stream to grow, which is a Midas dependency. Until both exist, adding a swing sleeve adds exposure without adding process. The 75:25 ratio keeps options proportionally small while the total pot is still building.

CAP-P3 — why long-term is last, not first

This is deliberately counter-intuitive. The long-term sleeve is the largest and does the actual wealth work, so instinct says fund it first. But the sequencing constraint here is *tooling*, not returns: Fortuna must reach a state of producing verifiable trading income before capital is committed at scale. Funding the 60% early would be sound investing but would not test anything, and the whole point of the ladder is that each rung has to be earned.

Why the Ladder Exists — the Executability Floor

A percentage split is only a plan if the resulting rupee amount can actually be traded. Below a certain total capital, 60/30/10 is arithmetic that produces unexecutable positions. The floor is set by the option lot, which is a hard regulatory unit and not negotiable.

The atomic unit

SEBI targets an index contract value of ₹15-20 lakh. The Nifty lot size moved 25 → 75 (Nov 2024) → **65** (effective 31 Dec 2025 / Jan 2026, NSE circular FAOP70616) as index levels rose. At a ₹150-200 premium that is roughly **₹10,000-13,000 of premium at risk per lot**. A sleeve that cannot absorb a run of consecutive losses at that unit size is not a sleeve — call it ten lots of buffer as the minimum, so **₹1-1.5 lakh**.

Read the lot size at runtime. It has been revised twice in ~14 months and is revised whenever index levels drift the contract value out of the ₹15-20L band. Fortuna must pull it from the broker / NSE, never hardcode it. One low-quality source claims 50 — the 65 figure carries the circular reference. Verify on Dhan before lock-in.

Options sleeve at 10% — executability by capital

Total capital	Options sleeve	Lots of buffer	Verdict
₹1 L	₹10,000	0 - 1	not executable
₹3 L	₹30,000	~3	fragile
₹5 L	₹50,000	~5	fragile
₹10 L	₹1.0 L	~9	minimum viable
₹15 L	₹1.5 L	~14	comfortable

Swing sleeve at 30% — per-position size by capital

Total capital	Swing sleeve	Deployed (75%)	Per position (6)	Verdict
₹5 L	₹1.50 L	₹1.12 L	~₹18,700	friction-heavy
₹10 L	₹3.00 L	₹2.25 L	~₹37,500	workable
₹15 L	₹4.50 L	₹3.37 L	~₹56,000	comfortable

Conclusion. The 60/30/10 split becomes executable at roughly **₹10-15 lakh total**. Below that, sleeves run *sequentially* (the phase ladder) rather than simultaneously. This is the entire justification for phasing — it is a constraint, not a preference.

The Structural Rules — What Each Buys, What Each Costs

These six rules are LOCKED. They are structural, so they hold regardless of what the percentages eventually settle at. Each is stated with its cost, because a rule presented without its downside is a rule nobody stress-tests.

Rule	What it buys	What it costs
CAP-R1 Options sleeve ring-fenced, never topped up	Caps total lifetime loss from the highest-variance activity at a known number. A losing sleeve cannot quietly eat the portfolio, which is the single most common way retail options accounts die.	If the strategy is genuinely good, a drawdown followed by no refill means under-participating in the recovery. Refill only from realised options profit or a scheduled annual re-fund.
CAP-R2 Risk measured against the sleeve, not total	Keeps concurrent-position risk bounded. Six positions at 1% of sleeve = 6% of sleeve = 1.8% of total. The total-capital version silently runs 3-5x hotter.	Per-trade rupee risk is smaller at low capital, so fixed costs (brokerage, STT, slippage) become a larger share of the risked amount.
CAP-R3 Reserve floor inside swing (25%)	Dry powder for adding to winners and for the setups that only appear after a market-wide flush, which is exactly when a fully-deployed account is paralysed.	Structural cash drag. In a strong trending market the reserve is the part of the sleeve that earned nothing.
CAP-R4 Long-term sleeve is not raidable	Keeps the compounding base actually compounding, and preserves the LTCG treatment that a churned position forfeits. Prevents swing conviction from cannibalising the base.	Occasionally the best available opportunity will be in swing while the capital sits in long-term. The rule means that opportunity is declined.
CAP-R5 Allocation in percent, never rupees	Survives every capital change. F_capital is re-run, never re-decided. Directly code-translatable as a config constant.	Percentages are meaningless below the executability floor, which is why CAP-R6 has to exist alongside it.
CAP-R6 Phased activation, not day-one 60/30/10	Each sleeve is earned by evidence rather than assumed. Limits damage from a strategy that looked good on paper and is not.	Slower ramp; the long-term sleeve stays under-funded for longer than a pure investing view would recommend.

Parameter Register

The code-facing surface of this document. Every row becomes a named constant. **LOCKED** = structural, will not move. **PROVISIONAL** = a working number that will be re-finalised when the owning strategy document is drilled. **PENDING** = no value yet.

Parameter	Value	Denominator	Status
SLEEVE_LONG_TERM	0.60	total capital	PROVISIONAL
SLEEVE_SWING	0.30	total capital	PROVISIONAL
SLEEVE_OPTIONS	0.10	total capital	PROVISIONAL
OPTIONS_TOPUP_ALLOWED	False	—	LOCKED
LONG_TERM_RAIDABLE	False	—	LOCKED
ALLOCATION_MODE	percent	—	LOCKED
SWING_MAX_DEPLOYED	0.75	swing sleeve	PROVISIONAL
SWING_MIN_RESERVE	0.25	swing sleeve	PROVISIONAL
SWING_MAX_POSITIONS	6	count	PROVISIONAL
SWING_RISK_PER_TRADE	0.01	swing sleeve	PROVISIONAL
P1_TEST_AMOUNT	—	fixed ■	PENDING
P1_EXIT_THRESHOLD	—	trades / months / expectancy	PENDING
P2_EXIT_CAPITAL	~■10 L	total capital	PROVISIONAL
NIFTY_LOT_SIZE	65	units — read at runtime	EXTERNAL
OPT_MAX_LOTS_PER_TRADE	—	count	PENDING → Branch A
OPT_DAILY_LOSS_CAP	—	options sleeve	PENDING → Branch A

STATUS - PENDING. Six parameters have no value. Four of them (P1_TEST_AMOUNT, P1_EXIT_THRESHOLD, OPT_MAX_LOTS_PER_TRADE, OPT_DAILY_LOSS_CAP) block CAP-P1 from actually starting. The two OPT_ parameters belong to Fortuna-Index, not here — F_capital only reserves the slot.

F_capital . Tracker

Area	Decided	Status
Document role	Shared utility, not a branch; prefix CAP-	LOCKED
Split model	Two splits: sleeves, then inside-sleeve	LOCKED
Risk denominator	Sleeve, never total capital	LOCKED
Options top-up	Never; realised profit or annual re-fund only	LOCKED
Long-term raiding	Not permitted	LOCKED
Allocation unit	Percent, not rupees	LOCKED
Phase ladder	P1 options → P2 +swing → P3 all three	LOCKED
Sleeve percentages	60 / 30 / 10	PROVISIONAL
Swing internals	75/25, 6 positions, 1% risk	PROVISIONAL
Phase-1 exit test	Definition of 'proven'	PENDING
Options internals	Lots per trade, daily loss cap	PENDING (Branch A)
Phase-2 idle long-term	What the unfunded 60% does meanwhile	PENDING

Open Questions

#	Question	Why it blocks
CAP-Q1	What defines 'index strategy proven'? Suggested: minimum 100 trades and 3 months, judged on net-of-cost expectancy rather than win rate.	Without a number the phase ladder is a vibe, not a gate. Blocks P1 → P2.
CAP-Q2	Is swing risk-per-trade really 1%? At 1% of a █3L sleeve that is █3,000 risked — friction is a meaningful share of it. Case for 1.5% until the sleeve grows.	Sets position size in F_cash_swing Section 1.
CAP-Q3	SWING_MAX_POSITIONS fixed at 6, or scaled by capital (5 below █5L, 8 above █15L)?	Changes bucket count and therefore per-position size.
CAP-Q4	What is P1_TEST_AMOUNT in rupees, and can it lose 100% without affecting anything else?	CAP-P1 cannot start without it.
CAP-Q5	During CAP-P2 the long-term 60% is unfunded. Should surplus route to index funds so it is not cash-drag for a year, or stay uncommitted?	Affects real return during the whole ramp.
CAP-Q6	Do the sleeve percentages themselves shift by phase, or is 60/30/10 only ever the terminal state?	Determines whether F_capital needs per-phase ratio tables.

Next active step. Answer CAP-Q1 and CAP-Q4 — they are the only two that block CAP-P1 from starting. Everything else can wait until the owning strategy document is drilled. Percentages are revisited after each of F_cash_swing Section 3 and Branch A sizing produce a measured risk profile.

DOCUMENT ENDS HERE

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